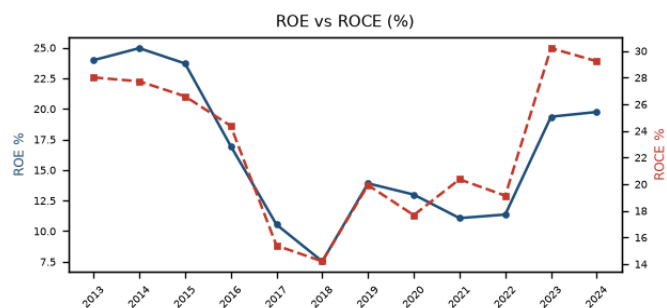
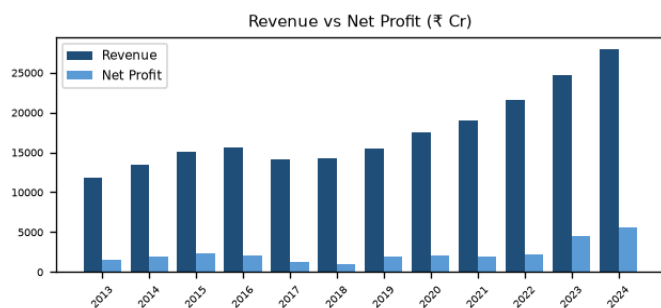


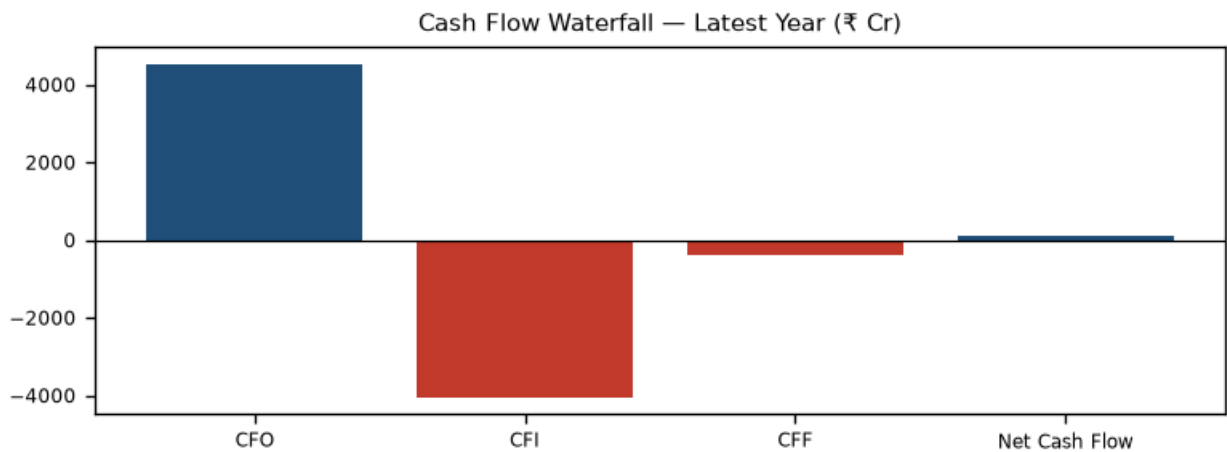
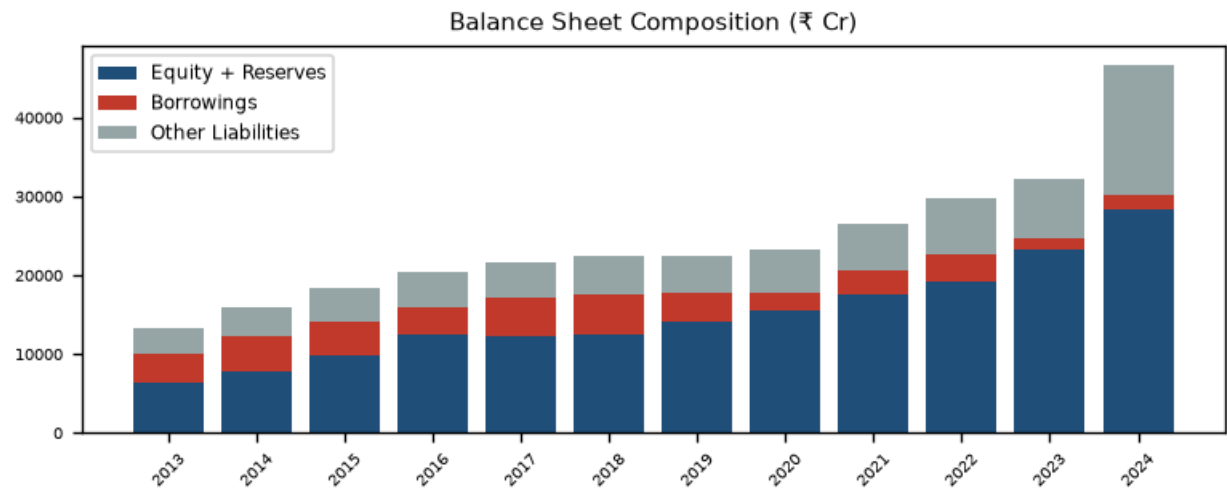
Dr Reddys Laboratories Ltd (DRREDDY)

Healthcare — Pharmaceuticals

ROE	ROCE	Net Profit Margin
19.7%	29.2%	19.9%
D/E	Revenue CAGR (5yr)	FCF (latest, Cr)
0.1x	12.6%	509



Dr Reddys Laboratories Ltd (DRREDDY) — Balance Sheet & Cash Flow



Capital Allocation Pattern: Reinvestor

Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (85% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (62% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (62% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (100% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (64% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (71% confidence)

Cons

- ✗ No single metric triggers a high-confidence concern, but leverage relative to peers is worth monitoring (45% confidence)